

Raghav Productivity Enhancers Ltd

Concall Tracker — is there a durable earning trigger, and has management been consistent about it?

Ticker RPEL | BSE 539837 | formerly Raghav Ramming Mass Ltd | Report date: 24 July 2026 | Path: NO-CONCALL web deep-dive | Continuity update (builds on Q4-2026 report)

1. Snapshot

What the business does (one line): Raghav is the world's largest maker of **silica ramming mass** — the heat-resistant sand-and-chemical lining packed inside an **induction furnace** (an electric furnace that melts scrap steel). It is a *consumable*: the lining wears out and must be replaced regularly, so every steel plant, foundry and casting unit running an induction furnace keeps buying it. Raghav sells a premium, longer-lasting version and charges more for it.

Number (latest)	Plain-English read
Market value ≈ ₹5,981 crore Share ≈ ₹1,303; 52-wk range ₹561–₹1,372	What the whole company is worth on the stock market. Up from ~₹4,500 cr (₹970) at our last report — the stock has re-rated ~35% higher and now trades near its 52-week high.
Q1 FY27 sales ₹86.9 crore (up ~48% YoY)	Consolidated revenue for Apr–Jun 2026 — the highest-ever quarter, up nearly half again on the ₹58.6 cr of a year earlier and ~23% above last quarter (₹70.6 cr). Growth is accelerating, not fading.
Q1 FY27 net profit ₹19.6 crore (up ~68% YoY)	Money left after all costs and tax — a record quarter, up two-thirds on ₹11.7 cr a year earlier. Profit grew faster than sales, so each rupee of sales earned more.
Operating margin ~29.6% (Q1 FY27)	EBITDA margin = operating profit before interest, tax and depreciation, as a share of sales. Out of every ₹100 of sales, ~₹29.6 is operating profit — held broadly steady versus last quarter (~30%), very high for a manufacturer.
FY26 (year to Mar-26): sales ₹257 cr, profit ₹55 cr	Backstory from our last report — the full prior year was already a record (sales +29%, profit +48%). Q1 FY27 has continued and sped up that trend.
Borrowings ≈ nil (net cash)	Debt is negligible against ~₹245 cr of shareholder money — effectively debt-free, so it funds growth from its own cash. Return on capital (ROCE) ran ~34% in Q1 — excellent.
Valuation: P/E ~95–107×	Price-to-earnings — how many years of current profit the price equals. At ~100× earnings the stock is very expensive ; the business quality is real, but the price now leaves little room for disappointment (a new risk flagged this quarter).

2. Coverage

No concall (question-and-answer earnings-call) transcript is available on Screener — as at our last report, Screener carries only Raghav's investor-presentation slide decks (marked "PPT"), not spoken Q&A transcripts. So this remains a **global web deep-dive**: management's written results filing and investor deck, cross-checked against the financials and independent news/analyst coverage.

Period covered	Source	Read this quarter?
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Decade of investor decks → FY26 results (up to 24 Apr 2026)	Investor decks + FY26 results	Carried forward from the Q4-2026 report (backstory — not re-read)
Prior boundary: FY26 / Q4 FY26 (24 Apr 2026)	FY26 investor deck "10 Years of Excellence"	Boundary of prior coverage
Q1 FY27 (Apr–Jun 2026)	Q1 FY27 results filing (16 Jul 2026) + news/analyst coverage	Newly reviewed in full ★

Only the new **Q1 FY27** quarter was reviewed in full this time; the multi-year backstory is carried forward from the Q4-2026 report. Sources this quarter: RPEL Q1 FY27 results filing (consolidated + standalone), EquityBulls, MarketsMojo, Business Standard, Whalesbook, Trade Brains, Screener.in financials. *Consistency read still leans on written filings/slides rather than a spoken Q&A concall — a slightly weaker evidence base, flagged in Section 4.*

2b. Latest update highlights — Q1 FY27 (Apr–Jun 2026, reported 16 Jul 2026)

- **Record quarter across the board.** Consolidated revenue ₹86.9 cr (+48% YoY, +23% QoQ), operating profit ~₹25.7 cr, net profit ₹19.6 cr (+68% YoY, +29% QoQ) — the highest-ever quarterly revenue, EBITDA and profit. *The business sold more and kept more of it.*
- **Margins held near their peak.** Operating margin ~29.6% (vs ~30% last quarter); profit margin actually rose to ~22.5%. *Growth is not being bought with discounts.*
- **Return on capital hit a fresh high.** ROCE ~34% in the quarter, still net-cash / debt-free. *The company earns ~₹34 of profit per ₹100 of capital — exceptional, and improving.*
- **Capacity expansion on track.** The 414k → 534k tonnes-a-year add (+29%, ~₹20 cr, funded from own cash) remains targeted operational by **1 October 2026**, with plants cited running at ~89% utilization. *The extra capacity lands just as the current plants near full.*
- **Exports back to normal.** The ~48% revenue jump signals the FY26 Iran-war export air-pocket has cleared (management had said exports "resumed normalcy from April 2026"). *Last quarter's one soft spot has healed.*
- **New caveat — valuation.** After a sharp re-rating (stock near its 52-week high) the shares trade at ~100× earnings; analysts flag "extreme valuation premium." *A price risk, not a business risk.*

Tone: confident — "highest-ever" results, "strong demand dynamics/visibility." Standalone net profit rose ~86% YoY (helped by a ₹4.6 cr dividend from its subsidiary, eliminated on consolidation — so the cleaner ~68% consolidated growth is the true operating picture).

2c. Business mix & capacity

Domestic vs export split: Broadly unchanged — roughly three-quarters of sales are within India and about a quarter exported (management reports volumes, not a clean revenue split; a precise domestic/export revenue % is not separately broken out). Raghav is India's largest ramming-mass exporter, shipping to 30+ countries. *Most of the business is domestic; exports add a growing, higher-optionality leg.*

Capacity utilization: ~89% (up from ~87% at Q4 FY26). *The factories are close to full, which is exactly why the October-2026 expansion (414k → 534k tonnes) matters — there is little headroom left to grow output without it.*

Market share: ~14% of India's silica-ramming-mass market, up from ~3.5% at listing (FY16); management targets 30%. *Plenty of room to keep taking share from small, unbranded local makers.*

2d. Since our last report ★

This builds on the **Q4-2026 report** (boundary: FY26 results, 24 Apr 2026), which returned **Trigger YES** and **Consistency YES**. One quarter on, the picture has firmed up rather than changed.

Prior read / promise	What we said then	What the new (Q1 FY27) quarter shows	Movement
Earning trigger	Volume + margin + share flywheel, playing out (YES)	Record quarter: revenue +48%, profit +68%, margins held ~29.6%, ROCE ~34%	Confirmed
Management consistency	Delivers what it promises; steady story (YES)	Another guided record delivered; expansion on schedule; still debt-free	Confirmed
Capacity expansion → 534k tonnes by Oct-2026	Live, cheap, brownfield; plants ~87% full	Still targeted 1 Oct 2026; utilization now ~89%	On-track
Export recovery (Iran-war wobble)	Muted in FY26; "resumed normalcy from Apr-2026"	~48% revenue jump signals exports normalized	Improving
Premium pricing / margin ~29%	Raise realisation every year	Operating margin held ~29.6%; profit margin up to ~22.5%	Confirmed
Value-add products (marble, semiconductor, foundry)	Promising optionality, no revenue yet (Unproven)	Still no separate revenue disclosed	Unchanged
Valuation (new)	Not flagged last time (P/E already high)	Re-rated to ~100× earnings — "extreme premium"	Richer / risk↑

Verdict change this quarter: Both verdicts **unchanged** — a strong, record Q1 confirms the trigger and the delivery record. The only thing that has genuinely worsened is the *share price valuation* (a market risk), not the business or management's execution.

3. Earning Trigger thesis

The headline driver

Raghav's earnings engine is a **volume-plus-margin flywheel**: it keeps adding cheap capacity and filling it by taking market share from small local rivals, while charging a premium for a longer-lasting, custom-fitted product. On top sit two expansion levers — **exports** (30+ countries) and a pipeline of **higher-value products** (value-add silica such as artificial-marble and semiconductor-grade material, plus a deeper foundry push). Q1 FY27 is fresh, concrete proof: revenue +48% and profit +68% to record levels, margins held ~29.6%, ROCE ~34%, with the ~29% capacity add live by Oct-2026 into plants already ~89% full. The structural tailwind — induction-furnace steelmaking taking a rising share of India's steel output, each furnace a recurring buyer of this consumable — is intact.

Trigger	What management says	Evidence so far	Horizon	Strength	Change since last report
Capacity expansion 414k→534k tonnes/yr	+120k tonnes for ~₹20 cr, live by Oct 2026; brownfield, low capex	Past adds (288k→414k) were absorbed fast; plants ~89% full — the add is justified	Live now → FY27	Strong — concrete, cheap, timely	↑ utilization rose to ~89%; timeline held
Market-share gains	Grow from ~14% to 30% of India's market	Share rose 3.5%→14% over 10 yrs; Q1 volumes still climbing	Multi-year	Strong — long, unbroken record	Unchanged — steady march continues
Premium pricing / margin	"Highest price, lowest cost" — raise realisation yearly	Operating margin ~29.6% held; profit margin up to ~22.5%; ROCE ~34%	Ongoing	Strong — margins genuinely high	Unchanged / firm — margin resilient at scale
Exports	India's largest exporter; keep adding countries	FY26 wobble (Iran war) cleared; ~48% Q1 revenue jump signals normalization	Ongoing	Moderate→Strong — trend re-established	↑ recovered from last quarter's soft spot
Value-add / new products (marble, semiconductor, foundry)	Use R&D to enter higher-value silica markets; scale foundry	Stated intent + R&D lab; still no revenue disclosed	2–4 years	Unproven — optionality, not yet in numbers	Unchanged — still awaited

4. Management Consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY24–FY26 (carried forward)	Build cheap brownfield capacity; take domestic share; improve margin yearly; stay debt-free	Capacity 288k→414k→534k (Oct-26); share 3.5%→14%; margin ~23%→~29%; net cash throughout	Delivered
Q1 FY27 (new) — implied guidance of continued record growth	Strong demand visibility; expansion on time; export normalization from Apr-2026	Record revenue/profit (+48%/+68%); expansion still Oct-1-2026; exports evidently normalized	Delivered
Export growth (FY26 caution flag)	Restore export momentum after Iran-war disruption	Q1 growth points to recovery; countries base ~30+ maintained	Delivered (early)
Value-add / new products (since FY24)	Scale higher-value silica & foundry into the numbers	Still not visibly contributing revenue after 3 years of mention	Too-early / watch

Narrative drift: Still remarkably steady. The decade-long story — premium product, cheap in-house-designed capacity, share gains, exports, a slow climb up the value chain — is intact, and Q1 FY27 delivered exactly the accelerating record management's tone implied. The FY26 export wobble has

reversed. The only lingering gap remains the value-add-products ambition, talked up since FY24 but still not visible in the numbers. Promoter holding is rock-steady at ~62.9% with no pledging — skin in the game, no dilution. The one genuinely new negative is external: the share price has re-rated to ~100× earnings, which raises the cost of any future stumble but says nothing about management's execution.

5. Bottom line — two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved this against — if anything Q1 FY27 firmed it up. The concrete, still-live driver is visibly playing out: record revenue (+48%) and profit (+68%), margins held near their peak (~29.6%), ROCE ~34%, a ~29% capacity add landing by Oct-2026 into plants ~89% full, and the FY26 export wobble now cleared. The structural tailwind — rising share of induction-furnace steelmaking, whose furnaces are recurring buyers of this consumable — is intact. The value-add/semiconductor legs remain unproven optionality, but the core flywheel alone easily justifies a YES.

Management consistent? → YES vs last quarter: unchanged

The new quarter reinforced rather than challenged the record. Management again delivered what its story implied — another all-time-high quarter, the capacity expansion still on its Oct-1-2026 schedule, exports normalized as promised from April, margins defended, and the balance sheet kept debt-free with promoter ownership steady at ~62.9% and no pledging. The only blemishes are the long-promised value-add products still not showing up in revenue, and — new this quarter — a stretched ~100× valuation that is a market risk, not a management failing. Weighing delivery against these, the record remains clearly **consistent**. (Caveat: this read is built on written filings/slide targets and results, not a spoken Q&A concall transcript, which Screener does not carry for this company.)

Prepared 24 July 2026 — concall-tracker, NO-CONCALL web deep-dive path, continuity update building on the Q4-2026 report. Figures consolidated and in ₹ crore unless stated; "tonnes" = metric tonnes per annum of capacity/volume. Acronyms: EBITDA = operating profit before interest, tax and depreciation; ROCE = return on capital employed; P/E = price-to-earnings; IF = induction furnace; ramming mass = the heat-resistant silica lining packed inside a furnace. This is a research summary, not investment advice.